

When price busts the downward breakout by closing above the top of the pattern, buy the stock and ride it to heaven.

Experience

Ascending broadening wedges are rare enough that I don't look for them to trade, and their performance isn't great, either. However, I made one trade in Assurant Inc. (AIZ) that I want to tell you about. It uses a wedge.

I picture the trade in [Figure 12.5](#). The wedge at A has five touches of the top trendline and three or four on the bottom. Price crosses the pattern enough to fill most of the whitespace. However, there's a big whitespace area between September and November, but that's because the pattern is so tall, it takes time for price to cross from top to bottom. The two trendlines slope upward and diverge as you would expect from an ascending broadening wedge.

I traded this stock by entering it for the first time after the bear market ended in 2009 (and sold in 2010). At E is another buy location, so I was familiar with this stock. For this trade, I bought at B.

Here's my notebook entry: "24 November 2012. This is at the bottom of an ascending broadening wedge. I am flush with cash, but have 15% in insurance co's. I'll add more to bring it up to near a [full] investment. Buy at market open on Monday. Buying at a good price, at support (chart pattern)."

Two days later, when the market opened, I bought at the open and received a fill at 34.18.

At you can see, I made a perfect entry, just three days after price bounced off the bottom trendline.

You probably can't see the price action well enough in the printed figure, but the stock did not breakout downward. A downward breakout, as you know, requires price to close below the bottom trendline, and that didn't happen. Rather, an upward breakout happened at C.